

STATE FARM GENERAL INSURANCE COMPANY.

FILED BY:

TENTATIVE RULING:

Appearance required.

9:00 AM

CASE NUMBER: C24-01921

CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. DAVID SEENO

***HEARING ON MOTION IN RE: LEAVE TO FILE FIRST AMENDED COMPLAINT FILED BY DAVID T SEENO**

FILED BY:

TENTATIVE RULING:

Before the Court is a motion for leave to file a first amended complaint by Plaintiffs David T. Seeno and David T. Seeno as Trustee of the David T. Seeno Revocable Trust. This motion is opposed by Defendant Albert D. Seeno, Jr.

Plaintiffs' motion is **granted**. Plaintiffs' First Amended Complaint is deemed filed as of the date of this hearing, 12/22/25. Plaintiffs shall file a separate copy of their First Amended Complaint by 12/26/25.

Judicial Notice

Defendant ADSJ requests judicial notice of (1) Albert D. Seeno III (ADS3)'s initial Complaint in Case No. C23-00614, *Albert D. Seeno III, et al. v. Albert D. Seeno, Jr.*, dated March 18, 2023; (2) ADS3's Second Amended Complaint in Case No. C23-00614, dated December 11, 2024; (3) the Final Ruling on Defendant ADSJ's Motion to Compel in Case No. C23-00614, dated June 5, 2025; and (4) the Declaration of Christa Hyams-Millard in Support of Plaintiffs' Motion Seeking Leave to Amend, Case No. C23-00614, dated July 3, 2025.

"[A] court [may] take judicial notice of a prior judgment in a different case even though such judgment or its content is not pleaded in the complaint, provided (a) the judgment is appropriately drawn to the court's attention and (b) the plaintiff has adequate notice and opportunity to be heard on the question of the effect of such judgment." (*Flores v. Arroyo* (1961) 56 Cal.2d 492, 496, Evid. Code, § 452(d).)

When taking judicial notice of court records, the court is limited to noticing the *existence* of each document in a court file but can only take judicial notice of the truth of facts asserted in orders, findings of fact and conclusions of law, and judgments. (*Day v. Sharp* (1975) 50 Cal.App.3d 904, 914.) This does not include taking judicial notice of the existence of facts asserted in all of a court file's documents, including pleadings and affidavits. (*Ibid.*)

ADSJ's Request for Judicial Notice of the aforementioned court records is **granted**.

Brief Factual and Procedural Background

This case arises out of Plaintiffs', David T. Seeno and David T. Seeno as Trustee of the David T. Seeno Revocable Trust ("David")'s allegations that his father, Defendant, Albert D. Seeno, Jr. ("ADSJ"), disregarded his fiduciary duties as an officer and director of a suite of Jointly Held Businesses, of which Plaintiffs are shareholders. (Comp. at 1:25-27.) Specifically, David alleges that ADSJ has directed the Jointly Held Businesses to make distributions to numerous other shareholders, including two of David's siblings, while excluding David. (Compl. at 2:4-6.) David alleges these distributions are made "in an arbitrary manner disconnected from any valid business purpose." (*Ibid.*)

David seeks the Court's leave to amend his initial complaint "[i]n light of the complex and developing nature of the claims." (Mot. For Leave to File FAC at 3:13-14.) The amendment deletes certain allegations, and, according to David, "streamlines the claims which will potentially be presented at trial." (*Id.* at 3:15-16.)

ADSJ contends that David's sole goal in seeking the Court's leave to amend his complaint is to avoid having to produce his tax documents in discovery. (Opp. at 2:13-14; 5:8-11.) ADSJ grounds this assertion on two bases: (1) in light of the edits themselves, and (2) in view of a nearly identical tack taken by David's brother in a similar suit. (Opp. At 2:13-25, 27-28.)

ADSJ notes that the bulk of the proposed changes to David's complaint consist of deletions of reference to David's allegation that ADSJ harmed him by creating "unfunded tax liability" when ADSJ improperly distributed money from the Jointly Held Businesses to other shareholders. (Compl. at 2:4-6, 2:14-17; Yu Dec. ISO Mot, Ex. A (Proposed First Amended Complaint ("Prop. FAC")) at 2:13-16, 28, 8:23-28, 9:1-3, 10:14-15, 12:15.)

ADSJ also urges the court to consider the strategy taken in the aforementioned similar suit brought against ADSJ by David's brother, Albert D. Seeno, III ("ADS3"). There, ADS3 made the same allegations regarding unfunded tax liability and subsequently sought leave to amend his complaint when a discovery referee held that ADS3 would be compelled to produce his tax documents, given that he had put them at issue in his complaint. (Opp. at 2:13-17.)

ADSJ contends that David's strategy is the twin of ADS3's and is a sign that David's motion for leave to amend is grounded in bad faith. (Opp. at 5:6-11.)

Standard for Leave to Amend

In the furtherance of justice and in its discretion, the court may, after notice is given to the opposing party, allow an amendment to any pleading to correct a mistake. (Code Civ. Proc., § 473(a)(1).) "[C]ourts should indulge in great liberality in permitting amendment so that no litigant shall be deprived of his day in court because of technicalities." (*Landis v. Superior Court of Los Angeles County* (1965) 232 Cal.App.2d 548, 554.) The trial court has wide discretion in allowing the amendments of any pleadings and the ruling of a trial court will be upheld unless a "manifest or gross abuse of

discretion is shown.” (*Record v. Reason* (1999) 73 Cal.App.4th 472, 486.)

“[A]bsent a showing of prejudice to the adverse party, the rule of great liberality in allowing amendment of pleadings will prevail.” (*Board of Trustees v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163.) Even where a party unreasonably delays, “it is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.) “[C]ourts generally should permit amendment to the complaint at any stage of the proceedings, up to and including trial.” (*Melican v. Regents of University of California* (2007) 151 Cal.App.4th 168, 175.)

A motion to amend a pleading must include a copy of the proposed amended pleading, serially numbered to differentiate it from previous pleadings, and it must state (1) what if any allegations are proposed to be deleted, (2) what if any allegations are proposed to be added, and (3) where, by page, paragraph, and line number the allegations to be added or deleted are located. (Cal Rules of Court, Rule 3.1324(a).) A motion to amend a pleading must also have attached a declaration that specifies why the amendment is necessary and proper, when the facts giving rise to the amended allegations were discovered, and why the request to amend was not made sooner. (Cal Rules of Court, Rule 3.1324(b).)

Analysis

The proposed amendments to the Plaintiffs’ initial complaint in this case consist almost exclusively of deletions of every previous reference to unfunded tax liability. David calls this merely “streamlin[ing]” the complaint. ADSJ, however, asserts that the proposed amendments are prejudicial such that leave to amend should be denied. (Yu Dec. ISO Mot at ¶ 5., Opp. at 5:14-15.)

Prejudice

“Any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading.” (Code Civ. Proc., §576.) “[I]t is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (*Kittredge Sports Co., supra*, 213 Cal.App.3d at 1048.) Prejudice in this context is where amendment would result in, among other things, necessitating a continuance to allow the defendant to depose new witnesses, a delay of trial, along with a loss of critical evidence, added costs of preparation, or increased burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 486-488; see also *P & D Consultants, Inc. v. City of Carlsbad* (2010) 190 Cal.App.4th 1332, 1345.)

Here, ADSJ asserts that by removing the unfunded tax liability allegations, “David is fundamentally changing the nature of this case and the course of discovery.” (Opp. at 2:20-23.) ADSJ notes that the complaint has been on file for over a year, such that ADSJ has “develop[ed] theories, strategies, and discovery requests, some of which have already been served.” (*Id.* at 5:12-14.) ADSJ also questions what of David’s claims or prayer for damages even remains, in the absence of the allegations about

unfunded tax liability. (*Id.* at 5:18-19.)

But trial has not been set, and discovery has only just commenced, with Defendant propounding the first set of requests for production October 28, 2025. (Opp. at 4:4-5.) ADSJ does not provide any authority, and the Court is not aware of any, that finds prejudice where a defendant, who has begun to develop a legal and discovery strategy, is compelled to reevaluate that strategy at the opening of discovery before a trial date is set after a moving party seeks to *remove* an allegation.

Defendant cites *Le Mere v. Los Angeles Unified School Dist.* (2019) 35 Cal.App.5th 237, 245, as an example of a case in which denial of leave to amend was proper where “there was an unexplained delay of 14 months in *raising the new cause of action*.” (*Le Mere, supra*, 35 Cal. App. 5th at 245, emphasis added.) But here, plaintiff explains that the amendment seeks to streamline his complaint, and in doing so he is not adding a new cause of action but merely removing an allegation. (Yu Dec. ISO Mot at ¶ 5.)

While it may be an inconvenience for ADSJ to reconfigure his trial strategy at this juncture, such an inconvenience does not rise to the level of prejudice. Leave to amend should be granted even where an amendment changes the relevant legal theories, so long as the amended pleading, as here, relates to the same general set of facts. (*Kittredge Sports Co., supra*, 213 Cal. App.3d at 1048, *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 489.)

Delay

California Rules of the Court 3.1324(b) requires that a motion to amend a pleading must include a declaration that specifies why the amendment is necessary and proper, when the facts giving rise to the amended allegations were discovered, and why the request to amend was not made sooner. (Cal Rules of Court, Rule 3.1324(b).) “A long unexcused delay may be the basis for denying permission to amend pleadings.” (*Nelson v. Specialty Records, Inc.* (1970) 11 Cal.App.3d 126, 139, *see also: Green v. Rancho Santa Margarita Mortgage Co.* (1994) 28 Cal.App.4th 686, 692, and *Rainer v. Community Memorial Hosp.* (1971) 18 Cal.App.3d 240, 258.)

“Where inexcusable delay and probable prejudice to the opposing party is indicated,” denial of leave to amend is warranted. (*Estate of Murphy v. Gulf Ins. Co.* (1978) 82 Cal.App.3d 304, 311.) Delay by itself, however, is insufficient to overcome the general rule of “great liberality” in granting leave to amend, particularly in the absence of prejudice to the non-moving party. (*Landis, supra*, 232 Cal.App.2d at 554, *Kittredge Sports Co., supra*, 213 Cal.App.3d at 1048.)

Prejudice requires that a defendant is disadvantaged to a greater degree than finding a need to reevaluate litigation strategy at the outset of discovery before a trial date has been set. (*Magpali, supra*, 48 Cal.App.4th at 488 [prejudice found where trial date was set, jury was about to be impaneled, counsel, parties, trial court, and witnesses had blocked the time, and the only way to avoid prejudice to the opposing party was to continue the trial], *Estate of Murphy v. Gulf Ins. Co., supra*, 82 Cal.App.3d at 311 [prejudice found where plaintiff sought to broaden the issues in the case where

discovery had been completed, the jury had been impaneled , the trial was ready to proceed , the plaintiff “was in no position to prove this supposed fact,” and “the proposed amendment opened up an entirely new field of inquiry without any satisfactory explanation as to why this major change in point of attack had not been made long before trial.”.)

Here, David’s attorney, Charmaine G. Yu (“Ms. Yu”) filed a Declaration in Support of David’s Motion for Leave to File a First Amended Complaint wherein she noted that the proposed FAC does not contain new claims and only “removes certain allegations in the original complaint to streamline the claims Plaintiffs will potentially present at trial.” (Yu Dec. ISO Mot at ¶ 5.)

Such an amendment narrows the issues and promotes judicial economy; it does not prejudice the defendant. In removing an allegation, David, rather than “open[ing] up an entirely new field of inquiry without any satisfactory explanation,” is instead removing an allegation to “streamline” his complaint. (*Estate of Murphy v. Gulf Ins. Co.*, *supra*, 82 Cal.App.3d at 311, Yu Dec. ISO Mot at ¶ 5.)

Because the Court concludes there is no prejudice to ADSJ if David is allowed to make the proposed amendments, the Court also concludes that any delay is insufficient ground to support a denial of the instant motion. As such, Plaintiff’s motion for leave to amend is **granted**.

9:00 AM

CASE NUMBER: C24-01921

CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. DAVID SEENO

***HEARING ON MOTION IN RE: SEAL PORTIONS OF MOTION TO DISQUALIFY PLAINTIFFS' COUNSEL FOR UNAUTHORIZED COLLECTION AND POSSESSION OF TAX RECORDS C24-02806**

FILED BY:

TENTATIVE RULING:

The motion to seal portions of the motion to disqualify is granted for the reasons stated in the motion.

9:00 AM

CASE NUMBER: C25-01068

CASE NAME: CHRISTOPHER LONDAHL VS. DOES 1-10

**HEARING IN RE: APPLICATION FOR RIGHT TO ATTACH ORDER FILED BY CHRISTOPHER LONDAHL
FILED BY:**

TENTATIVE RULING:

Appearance required.